



January 31, 2025

Senator Mike Jacobson, Chairperson
Banking, Commerce, and Insurance Committee
Room 1117
P.O. Box 94604
Lincoln, NE 68509

Senator Bob Hallstrom, Vice Chairperson
Banking, Commerce, and Insurance Committee
Room 1404
P.O. Box 94604
Lincoln, NE 68509

Senator Margo Juarez
Room 1528
P.O. Box 94604
Lincoln, NE 68509

RE: Letter in Opposition to the Delete Act (LB 602)

Dear Chairperson Jacobson, Vice Chairperson Hallstrom, and Senator Juarez:

On behalf of the advertising industry, we write to oppose Nebraska LB 602, the “Delete Act.”¹ We offer this letter to express our non-exhaustive list of concerns about this legislation. Our organizations support meaningful privacy protections for Nebraskans. However, as presently drafted, LB 602 would significantly burden the Nebraska Secretary of State with the costly and resource-intensive task of creating and administering an untested centralized data deletion mechanism. The bill would also impose requirements on Nebraska companies that are duplicative of requirements already contained in the Nebraska Data Privacy Act, severely hinder small and mid-size Nebraskan businesses’ ability to compete in the economy, and impede Nebraska consumers’ and businesses’ access to vital services. We ask you to decline to advance the bill out of the Banking, Commerce, and Insurance Committee (“Committee”).

As the nation’s leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product (“GDP”) in 2020.² Our group has more than a decade’s worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls. We would welcome the opportunity to engage with the Committee further on our comments regarding the bill outlined here.

¹ Nebraska LB 602 (109th Leg.), located [here](#) (hereinafter “LB 602”).

² John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located [here](#) (hereinafter, “Deighton and Kornfeld”).

I. LB 602 would create enormous and costly new responsibilities for the Nebraska Secretary of State.

LB 602 would saddle the Nebraska Secretary of State with the significant task of standing-up and administering an “accessible deletion mechanism,” a technical solution that “allows a consumer, through a single verifiable consumer request, to request that every data broker that maintains any personal data about the consumer delete the personal data.”³ The bill, modeled after California’s novel, undeveloped, and untested Delete Act, will create significant costs for the Nebraska government in creating and managing such a centralized data deletion mechanism. The California Privacy Protection Agency has estimated that its mechanism will cost anywhere from \$3.5 million to \$4.4 million to develop, with ongoing costs for maintenance.⁴ The agency has not yet revealed the actual cost of the mechanism or how it will technologically communicate the deletion requests it receives to registered data brokers. In 2003, the Federal Trade Commission incurred costs in the amount of \$14.6 million to stand up a similar mechanism—the Do-Not-Call registry—and it incurred further costs of \$14 million in 2024 to maintain that registry.⁵ These actual costs dwarf the number California has estimated its deletion mechanism will cost the state, and industry expects the true cost of the deletion mechanism will be significantly greater than what California has estimated. In addition, “accessible deletion mechanisms” could present data security issues for state governments that administer them, as governments may be required to maintain records of consumers who have submitted deletion requests. If LB 602 is enacted, the Nebraska Secretary of State will be hampered with extremely costly and resource-intensive new responsibilities.

II. LB 602 would impose duplicative and unnecessary requirements on data brokers.

If enacted, LB 602 would create requirements that overlap with existing provisions of the Nebraska Data Privacy Act. For example, the bill would require data brokers to make certain disclosures as part of their data broker registration that are similar to or already required of Nebraska controllers in privacy policies under the state’s newly effective omnibus privacy law.⁶ In addition, the bill’s “accessible deletion mechanism” would overlap with the deletion right already available to Nebraska consumers under the Nebraska Data Privacy Act.⁷ The Nebraska legislature should afford time to evaluate how the Nebraska Data Privacy Act—which took effect approximately one month ago—impacts consumers and the business community before enacting onerous, duplicative, and potentially harmful new mandates through this untested Delete Act legislation.

In addition, LB 602 would significantly harm small and mid-size Nebraska businesses. Data brokers are vital to new and small businesses’ ability to thrive and find new customers. Much like

³ LB 602 at Sec. 10(b).

⁴ See California Privacy Protection Agency, *Memorandum Regarding SB 362 – Delete Act*, located [here](#).

⁵ See U.S. Government Accountability Office, *Report to Congressional Committees: Telemarketing – Implementation of the National Do-Not-Call Registry* at 4 (Jan. 2005) located [here](#).

⁶ Compare LB 602 at Sec. 5-6 with Neb. Rev. Stat. § 87-1113.

⁷ Compare LB 602 at Sec. 10 with Neb. Rev. Stat. § 87-1107(c).

supply chain partners create value in various sectors of the economy, data brokers serve as intermediaries that help their clients find and attract new and existing customers. Data brokers enable small businesses to leverage more than just the data they receive from direct interactions with their niche customer base. Legal requirements that ignore the value data brokers provide to the economy threaten to impact small businesses the most. Information obtained from data brokers makes it possible for small and mid-size companies with less resources to spend on advertising to reach as many new potential customers as possible and in the most efficient and accountable ways possible. In large part due to services provided by data brokers, small and mid-sized businesses are empowered to compete with larger companies who have more resources to allocate to broad marketing efforts. LB 602 would undermine new and small Nebraska businesses' ability to compete and remain profitable in the economy.

III. LB 602's "accessible deletion mechanism" requirement would threaten vital services that Nebraskans and Nebraska businesses rely upon.

LB 602's data broker deletion mechanism would significantly impact the availability of data in the marketplace to power several vital services. For example, data brokers protect Nebraskans by providing data to help verify digital identities and prevent digital fraud, saving senior citizens and other vulnerable populations from having their accounts compromised and savings stolen. LB 602 could force data brokers to delete data used for fraud prevention, thereby making it easier for criminals to focus their scams and online attacks on Nebraska's most vulnerable populations. In addition, data brokers provide services that help states administer public benefits, like unemployment and nutrition assistance, and they help governments oversee and reduce fraud perpetrated on those important systems.

If enacted, LB 602 would result in a lack of necessary data to police fraud and waste in those systems due to broad deletion requests, resulting in increased misallocation of government funds and susceptibility to criminal and fraudulent schemes. LB 602 would also measurably reduce funding for nonprofits and charitable organizations and would impede political campaigns from reaching voters and raising funds. Charitable organizations depend on data provided by data brokers to identify and reach new donors and volunteers interested in their missions. Without that data, Nebraska charities of every kind—from veterans' service organizations and food assistance programs to animal welfare groups—will suffer. In addition, political campaigns that rely on data broker services to educate and identify voters as well as fundraise will lose access to those services. If enacted, LB 602 would remove data in the marketplace that powers services Nebraska businesses and consumers rely upon and expect.

IV. LB 602 does not clearly foreclose the possibility of a private right of action.

LB 602 permits enforcement under the state's Deceptive Trade Practices Act.⁸ To ensure that enforcement remains within the Attorney General's purview and to avoid any confusion regarding who can take legal action, LB 602 should explicitly state in the bill that it does not grant a

⁸ LB 602 at Sec. 13.



private right of action. Without an explicit statement, potential legal ambiguity could create confusion among businesses and consumers.

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We and our members support protecting consumer privacy. We believe, however, that LB 602 is unnecessary given the newly effective Nebraska Data Privacy Act. In addition, LB 602 would remove vital data from the marketplace, resulting in detrimental impacts for Nebraska consumers and businesses alike. The bill would also levy significant expenses on the Nebraska Secretary of State to stand up and administer a novel accessible deletion mechanism. We ask the Committee to decline to advance the bill any further in the legislative process.

Thank you in advance for your consideration of this letter.

Sincerely,

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